Blurt sheet - Unit 3.8 Choosing strategic direction

AQA A-LEVEL BUSINESS 7132

3.8.1 Choosing markets and products

- **Factors influencing which markets and products:** objectives, growth of the market, competition, resources, risk, fit with core competences
- **Strategic direction:** which markets to compete in and which products to offer
- **Reasons for different directions:** market saturation, new opportunities, spreading risk
- **Value of a clear direction:** focuses resources and decisions
- **Risk:** rises the further the business moves from what it knows
- **Market attractiveness:** size, growth, profitability and level of competition

3.8.1 Ansoff's matrix

- **Ansoff's matrix:** growth strategies by product (existing or new) and market (existing or new)
- **Market penetration:** existing products, existing markets; lowest risk
- **Market development:** existing products, new markets
- **New product development:** new products, existing markets
- **Diversification:** new products, new markets; highest risk
- **Value:** shows the risk of each option
- **Limitation:** does not show how big the risk is in a particular case

3.8.2 Porter's generic strategies

- **Porter's generic strategies:** low cost, differentiation, focus
- **Low cost (cost leadership):** lowest costs in the market, so can charge less or earn higher margins
- **Differentiation:** offering something customers see as better or distinctive, for a higher price
- **Focus:** concentrating on a narrow segment, either on cost or differentiation
- **Stuck in the middle:** neither the lowest costs nor a clear point of difference
- **Trap:** only one business can have the lowest costs

3.8.2 Positioning and competitive advantage

- **Influences on positioning:** strengths and weaknesses of the business, competitors, customers' needs
- **Competitive advantage:** a reason customers choose the business over its rivals
- **Benefits of competitive advantage:** higher sales, higher prices, loyal customers
- **Difficulties of maintaining it:** rivals copy, technology changes, customer tastes change
- **Sustainable advantage:** hard to copy, e.g. patents, strong brand, unique skills
- **Trap:** an advantage only counts if customers value it